



ORIENT FINANCE PLC

Unaudited Interim Financial Statements

For the Three Months Ended 30 June 2019

ORIENT FINANCE PLC
INCOME STATEMENT

For the 03 Months Ended 30th June

	2019 Rs.	2018 Rs.
Income	827,319,588	827,603,745
Interest income	777,645,537	776,428,215
Interest expenses	(493,242,957)	(493,168,770)
Net interest income	284,402,580	283,259,445
Fee and commission income	37,458,498	41,824,809
Other operating income	12,215,553	9,350,721
Total operating income	334,076,631	334,434,975
Impairment charges for loans and receivables to customers	(198,050,963)	(141,461,452)
Net operating income	136,025,668	192,973,523
Operating expenses		
Personnel expenses	(112,197,838)	(97,103,397)
Depreciation and amortization	(8,201,072)	(6,070,556)
Other operating expenses	(115,754,113)	(102,092,457)
Operating profit/(loss) before Value Added Tax and NBT	(100,127,355)	(12,292,887)
Value Added Tax and NBT on financial services	(3,109,128)	(8,959,837)
Profit/(loss) before income tax	(103,236,483)	(21,252,724)
Income tax expense	-	-
Profit/(loss) for the period	(103,236,483)	(21,252,724)
Other comprehensive income/(expenses)		
Change in fair value of financial assets at fair value through other comprehensive income	9,680,532	856,714
Total comprehensive income/(expenses) for the period net of tax	(93,555,951)	(20,396,010)
Basic earnings per share (Rs.)	(0.70)	(0.14)
Diluted earnings per share (Rs.)	(0.70)	(0.14)

Figures in brackets indicate deductions.

Colombo
13th August, 2019

As At

- Cash and cash equivalents
- Financial assets - fair value through other comprehensive income
- Loans and receivables
- Investments with banks and other financial institutions
- Other assets
- Real estate stock
- Deferred tax asset
- Goodwill
- Brand value
- Intangible assets
- Property, plant and equipment
- Investment properties
- Total assets**

Due to banks - bank overdrafts
Deposits from customers
Interest bearing borrowings
Term debts
Redeemable preference shares
Other liabilities
Retirement benefit obligations
Total liabilities

Stated capital
Statutory reserve fund
Revaluation reserve
Fair value reserve
Retained earnings
Total equity
Total equity and liabilities

Figures in brackets indicate deductions.

The financial statements are in compliance with the requirements of the Companies Act No.07 of 2007.

30th June 2019 Rs.	31st March 2019 Rs.
147,268,848	181,741,883
952,229,080	936,939,610
13,557,063,586	14,033,759,660
223,663,648	286,253,330
238,282,097	252,392,826
16,772,709	16,772,709
371,088,940	371,088,939
564,545,746	564,545,746
235,880,000	235,880,000
1,505,430	1,505,430
83,108,504	78,163,766
532,849,999	400,600,002
16,924,258,588	17,359,643,901
430,502,861	610,624,135
10,128,208,476	10,479,531,283
2,231,268,505	2,091,868,611
994,921,576	1,012,265,985
526,180,300	512,216,926
489,879,763	436,331,176
50,353,249	50,305,976
14,851,314,730	15,193,144,092
1,378,689,779	1,378,689,779
306,478,542	306,478,542
141,120,773	141,120,773
10,749,563	1,069,031
235,905,201	339,141,684
2,072,943,858	2,166,499,809
16,924,258,588	17,359,643,901
14.00	14.64

Jude Anthony
Chief Executive Officer

The Board of Directors is responsible for the preparation and presentation of these financial statements.

Approved and signed for and on behalf of the Board.



Ms. Minette Perera
Director

Colombo
13th August, 2019

ORIENT FINANCE PLC
STATEMENT OF CHANGES IN EQUITY

For the period ended 30th June

	Stated Capital Rs.	Statutory reserve fund Rs.	Revaluation reserve Rs.	Available for sale reserve Rs.	Fair value reserve Rs.	Retained earnings Rs.	Total Rs.
Balance as at 01st April, 2018	1,378,689,779	305,274,930	112,291,899	213,964	-	551,579,875	2,348,050,447
Profit/(Loss) for the year	-	-	-	-	-	(21,252,724)	(21,252,724)
Other comprehensive income (expense) net of taxes	-	-	-	-	-	856,714	856,714
Balance as at 30th June 2018	<u>1,378,689,779</u>	<u>305,274,930</u>	<u>112,291,899</u>	<u>213,964</u>	<u>-</u>	<u>531,183,865</u>	<u>2,327,654,437</u>
Balance as at 01st April, 2019	1,378,689,779	306,478,542	141,120,773		1,069,031	339,141,684	2,166,499,809
Profit/(Loss) for the year	-	-	-	-	-	(103,236,483)	(103,236,483)
Other comprehensive income (expense) net of taxes	-	-	-	-	9,680,532	-	9,680,532
Balance as at 30th June 2019	<u>1,378,689,779</u>	<u>306,478,542</u>	<u>141,120,773</u>	<u>-</u>	<u>10,749,563</u>	<u>235,905,201</u>	<u>2,072,943,858</u>

Figures in brackets indicate deductions.

Colombo
13th August, 2019

ORIENT FINANCE PLC
STATEMENT OF CASH FLOWS

For the period ended 30th June

	2019	2018
	Rs.	Rs.
Cash flows from operating activities		
Profit/(loss) before income tax expense	(103,236,483)	(21,252,724)
Adjustment for:		
Depreciation/amortization	8,671,562	6,061,697
Loss on disposal of property, plant and equipment	-	(39,130)
Impairment charges for loans and receivables to customers	198,050,963	141,461,452
Finance expenses	493,242,957	493,168,770
Profit on sale of real estate	-	-
Investment income	(31,394,852)	(49,618,847)
Provision for gratuity	4,200,001	3,500,000
Operating profit/(Loss) before working capital changes	569,534,148	573,281,218
Change in loans and receivables to customers	146,395,114	211,313,664
Change in other assets	14,110,729	(20,237,769)
Change in deposits from customers	(348,083,665)	(272,031,686)
Change in other liabilities	53,548,587	149,018,048
	435,504,912	641,491,953
Interest paid	(466,919,876)	(437,051,102)
Income tax paid	-	-
Gratuity paid	(4,152,727)	(656,418)
Net cash from/(used in) operating activities	(35,567,691)	203,784,433
Cash flows from investing activities		
Acquisition of property, plant and equipment and intangible assets	(13,616,302)	(10,098,003)
Proceeds from sale of property, plant and equipment	-	39,130
Proceeds from sale of real estate	-	-
Net change in available for sale financial assets	(5,608,938)	4,675,457
Net change in investments with bank and other financial institutions	62,589,682	(75,458,267)
Investment income received	31,394,852	49,618,847
Net cash generated from/(used in) investing activities	74,759,294	(31,222,836)
Cash flows from financing activities		
Interest bearing borrowings obtained	2,395,641,753	226,000,000
Repayment of interest bearing borrowings	(2,245,523,430)	(475,489,967)
Interest paid on debentures	(43,661,687)	(42,870,043)
Dividend paid	-	-
Net cash generated from/(used in) financing activities	106,456,636	(292,360,010)
Net change in cash and cash equivalents	145,648,239	(119,798,413)
Cash and cash equivalents at the beginning of the Period	(428,882,252)	57,090,896
Cash and cash equivalents at the end of the Period (Note A)	(283,234,013)	(62,707,517)
Note A		
Analysis of cash and cash equivalents at the end of the Period		
Cash in hand	128,584,554	97,805,863
Cash at bank	18,684,294	29,096,689
Bank overdrafts - secured	(430,502,861)	(189,610,069)
	(283,234,013)	(62,707,517)

Figures in brackets indicate deductions.

Colombo
13th August, 2019

NOTES TO THE FINANCIAL STATEMENTS

- 1 These Interim Financial Statements of the Company have been prepared based on the Sri Lanka Accounting Standards that came into effect from January 01, 2012 (SLFRS/LKAS). There were no changes to the Accounting Policies and methods of computation since the publication of the Audited Financial Statements for the Year Ended 31 March 2019. Further, these Interim Financial Statements have been prepared in compliance with the requirements of the Sri Lanka Accounting Standard 34 (LKAS 34) on Interim Financial Reporting. Previous year figures and phrases have been re-arranged
- 2 There are no material events that took place after the reporting date that require adjustments to or disclosure in the Financial Statements.
- 3 The Board of Directors of Orient Finance PLC has resolved to convert the existing 4,000,496 preference shares of the company to 24,002,976 Ordinary Shares at the ratio of six (06) Ordinary Shares for every one (01) Preference Share at a value of LKR19.59 per Ordinary Share, subject to the approval of the preference shareholders of the company, and all other shareholder and regulatory approvals. Additionally a maximum of 3,906,978 fully paid shares would be issued in respect of preference share dividend amounting to Rs.76,537,705.00 calculated at LKR 19.59 per Ordinary Share. The Ordinary Shares so issued will be listed in the Colombo Stock Exchange (CSE), in addition to the 148,018,370 Ordinary Shares of the Company currently listed in the CSE. The Ordinary Shares issued by way of Private Placement is subject to obtaining approval from Ordinary Shareholders at the Extraordinary General Meeting scheduled to be held on 02nd September 2019.
- 4 All known expenses have been provided for in these Financial Statements.
- 5 There are no significant changes in the nature of the Contingent Assets or Contingent Liabilities which were disclosed in the Audited Financial Statements for the year ended 31st March 2019.

Listed Debenture Information

Debenture	30-Jun-19 Rs	30-Jun-18 Rs
Debentures Issued in 2014	1,000,000,000	1,000,000,000
	1,000,000,000	1,000,000,000
Debenture 02	30-Jun-19	30-Jun-18
Market Prices - (Highest/ Lowest/ Closing)	N/T*	N/T*
Debt to Equity Ratio (Times)	6.84	6.43
Interest Coverage Ratio (Times)	1.20	1.02
Liquid Asset Ratio	7.62%	8.53%
Interest Rate of comparable Government Securities	8.29%	9.60%
Interest Yield as at Date of Last Trade	N/T*	N/T*
Yield to maturity as of Last Trade	N/T*	N/T*
* N/T -	Not Traded	

Ordinary Share Information

The Company's Ordinary Shares are listed on the Diri Savi Board of the Colombo Stock Exchange (CSE).

Stated Capital	30-Jun-19	30-Jun-18
Value of Ordinary Shares (Rs.)	1,378,689,780	1,378,689,780
No. of Ordinary Shares	148,018,370	148,018,370

Share Price During the Period

For the Quarter Ended

	30-Jun-19	30-Jun-18
Highest (Rs)	13.70	19.50
Lowest (Rs)	10.20	12.60
Closing (Rs)	11.80	13.10

ORIENT FINANCE PLC**NOTES TO THE FINANCIAL STATEMENTS****Shareholders as at 30 June 2019**

	Name	No. of Shares	%
1	Janashakthi PLC	132,940,720	89.81
2	First Capital PLC	2,138,239	1.44
3	Mr. L.P.Mendis	566,495	0.38
4	Seylan Bank Plc/ S.R. Fernando	509,850	0.34
5	Mr. R.A.B.K.Kumara	500,000	0.34
6	Mr. K.S.S. Peris	382,076	0.26
7	Mr.N.L.S.Fernando	377,677	0.26
8	Mr. A.S.A.Fernando	330,000	0.22
9	M/S Commercial Credit And Finance Plc	330,000	0.22
10	Mr.R.E.Rambukwella	306,195	0.21
11	Mrs. M. N. S. Fernando	248,555	0.17
12	Mr. G.A.C.De Silva	211,000	0.14
13	Mr.M.K.De Livera	207,628	0.14
14	Mr. S.D.S. Gunasekera	200,000	0.14
15	M/S Merchant Bank of Sri Lanka & Finance PLC/ D.L.J. Priyadarshana	191,903	0.13
16	Dr. N.C.N. Amarasena	191,800	0.13
17	Mr. R.M.P. Dayawansa	191,130	0.13
18	Seylan Bank PLC/ K.L.G.Udayanda	177,794	0.12
19	Mr. A.T.Abeyasinghe	141,330	0.10
20	Mr. K.D.A. Weerasinghe	133,400	0.09
	Others	7,742,578	5.23
	Total	148,018,370	100.00

Directors' Shareholding as at 30th June 2019

	Name of the Director	No. of Shares	%
1	Dr. D.C. Jayasuriya PC - Chairman	-	-
2	Mr. Prakash Schaffter	10	-
3	Mr. K. M. A. T. B. Tittawella	-	-
4	Ms. Minette D. A. Perera	-	-
5	Ms. Indrani Goonesekera	-	-
6	Mr. Ramesh Schaffter (Alternative Director to Mr. Prakash Schaffter)	10	-
7	Mr. Sriyan Cooray	-	-
	Total	20	

CEO's Shareholding as at 30 June 2019

Mr. Jude Anthoney	-	-
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Public Holding as at 30 June 2019

Number of Public Shareholders	12,939,271
Public Shareholding Percentage	1,038
Float Adjusted market capitalization (Rs)	8.74%
	152,654,305

According to the option 2 of 7.13.1 (b) of the listing rules the company is non compliant with the minimum public holding requirement as at 30 June 2019. An exemption by the CSE has been granted in terms of section 7.13.3 (iii) of the Listing Rulesto comply with the minimum public holding requirement up to 4th June 2020

ORIENT FINANCE PLC
NOTES TO THE FINANCIAL STATEMENTS

38. FINANCIAL REPORTING BY SEGMENTS

Business Segments

The company has four reportable segments, as described below, which are the company's strategic divisions. The strategic divisions offer different products and services, which are managed separately because they require different technology and marketing strategies. For each of the strategic divisions, the company's management reviews internal management reports on at least a monthly basis. The following summary describes the operations in each of the company's reportable segments.

- a) Hire purchase, finance leasing- Provision of hire purchase and leasing facilities to customers
- b) Loans - Provision of Loan facilities to customers
- c) Factoring - Debt factoring
- d) Gold Loan - Provision of loans against gold

For the period ended 30th June	Finance leases, Hire purchases		Loans		Factoring		Gold Loan		Total	
	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Interest income	601,998,973	586,806,245	86,448,251	128,835,746	17,160,555	38,778,142	72,037,759	22,008,082	777,645,537	776,428,215
Fee and commission income	32,782,657	36,980,364	2,877,117	1,168,497	1,798,724	3,675,948	-	-	37,458,498	41,824,809
Other income	10,698,070	7,404,248	766,146	851,589	197,566.80	222,495.00	553,770	872,389	12,215,553	9,350,721
Total segmental income	645,479,701	631,190,857	90,091,513	130,855,832	19,156,845	42,676,585	72,591,529	22,880,471	827,319,588	827,603,745
Less: Interest expense	(372,117,137)	(361,102,893)	(61,153,942)	(90,657,381)	(15,769,827)	(26,837,551)	(44,202,050)	(14,570,945)	(493,242,957)	(493,168,770)
Segmental results	273,362,563	270,087,964	28,937,571	40,198,451	3,387,018	15,839,034	28,389,479	8,309,526	334,076,631	334,434,976
Depreciation and amortization	(6,187,132)	(4,444,918)	(1,016,797)	(1,115,928)	(262,202)	(330,351)	(734,940)	(179,358)	(8,201,072)	(6,070,555)
Impairment charge	(142,771,472)	(61,927,072)	(27,868,152)	(37,878,508)	(27,411,339)	(41,654,789)	-	(1,083)	(198,050,963)	(141,461,452)
Other Expenses	(173,104,139)	(154,494,457)	(26,804,627)	(34,797,579)	(6,884,317)	(14,548,006)	(24,267,996)	(4,315,649)	(231,061,079)	(208,155,691)
Income tax	-	-	-	-	-	-	-	-	-	-
Profit/(loss) after tax	(48,700,180)	49,221,517	(26,752,005)	(33,593,564)	(31,170,841)	(40,694,112)	3,386,542	3,813,436	(103,236,483)	(21,252,722)
Segmental assets	12,768,163,365	13,025,852,155	2,098,327,229	3,270,230,343	541,097,718	968,095,180	1,516,670,276	525,609,120	16,924,258,587	17,789,786,799
Segmental liabilities	11,204,272,948	11,321,521,299	1,841,316,588	2,842,346,285	474,822,130	841,427,499	1,330,903,064	456,837,278	14,851,314,730	15,462,132,361